

Wall Street to regard the 1938 year-end price level as either too low or too high in relation to intrinsic worth, and in fact the values a year later were very nearly the same. Hence the common-stock market in December 1938 would seem to lend itself quite well to a study of postdepression standards of value, or—in any event—of the relationships existing at some not abnormal time between the prices of various groups of common stocks and their earnings and asset values. A survey of this kind, covering virtually all the industrial stocks listed on the New York Stock Exchange, was made in early 1939 by students of the Columbia University School of Business under the direction of the authors. The results of their work are summarized and subjected to brief analysis in this Note.⁵

The study dealt with 648 common stocks out of a total of 823 listed on the Exchange on Dec. 31, 1938. Besides 71 railroad and 46 utility issues, there were excluded the shares of 27 financial companies and 16 foreign companies as well as 15 dormant or otherwise unsuitable enterprises. The industrial shares covered by our analysis had an aggregate value of 32.4 billions at the close of 1938—or nearly 80% of the value of all the listed common stocks. (It is interesting to note that the value of all the railroad common shares, including holding companies, was less than 6% of the 41.3 billion total.)

⁵ Cf. the interesting series of comparative analyses of industrial groups issued by the S.E.C. in 1938–1940, entitled *Survey of American Listed Corporations*. These are based on income account and balance sheet items only and give no data relating to market values.